

INTERNAL AUDIT REPORT

Anti-Fraud Investigation Audit | Report No. AR-02312

Report ID:	AR-02312
Audit Type:	Anti-Fraud Investigation Audit
Report Date:	January 25, 2025
Audit Period:	2024-06-11 to 2025-01-04
Lead Auditor:	George Dean (EMP-62086)
Reviewed By:	Cody Hall (EMP-70777)
Primary Vendor Reference:	XpressCore Dynamics Holdings (VND-00283)
Subject Employee Reference:	Robert Bailey (EMP-8066)
Primary Transaction Reference:	TXN-431611
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This anti-fraud investigation audit covered the period 2024-06-11 to 2025-01-04 and examined transactions, approvals, and compliance records associated with vendor XpressCore Dynamics Holdings (VND-00283) and employee Robert Bailey (EMP-8066). The audit identified 4 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **MEDIUM**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-431611 (amount 1,015,993.84 USD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-00353 7	MEDIUM	VENDOR RISK	High-risk vendor FlowBridge Inc Holdings has no compliance record on file. Payment of \$198,002 released without compliance clearance.

Finding ID	Severity	Category	Description
FND-000392	MEDIUM	EXPIRED COMPLIANCE	Compliance record CMP-107992 for vendor YellowBridge Partners Group was in EXPIRED status at time of payment processing.
FND-004608	MEDIUM	MISSING RECEIPT	Reimbursement of \$335,237 for Software was approved despite no receipt documentation in the system.
FND-000163	MEDIUM	VENDOR RISK	Payment issued to VND-VND-04960 rated LOW risk. Active contract CON-108809 in place. Enhanced due diligence not documented.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-002649	APPROVAL RECORD	EVD-YDN-4594	0.60
EVI-011779	COMPLIANCE RECORD	EVD-HNF-1606	0.53
EVI-012070	DNS LOG	EVD-TYQ-7363	0.57
EVI-014497	DNS LOG	EVD-LZS-0920	0.97
EVI-018812	COMPLIANCE RECORD	EVD-XJJ-5506	0.65

5. RECOMMENDATIONS

- Introduce automated system validation to block approvals exceeding the approver's authorised limit.
- Establish a quarterly reconciliation process between Purchase Orders and Vendor Invoices.
- Implement receipt-matching automation for expense claims above the policy threshold.

6. MANAGEMENT RESPONSE

Management accepts the residual risk and has documented justification on file with the Chief Risk Officer.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	George Dean	EMP-62086	2025-01-25
Reviewing Officer	Cody Hall	EMP-70777	2025-01-27